Louisa County Water Authority
Board of Directors
January 10, 2024

MEMBERS PRESENT: Mr. Judson Foster, Chairman; Mr. David Kies; Mr. Bob Hardy; Mr. Robert Morgan; Mr. Tom Filer

MEMBERS ABSENT: Mr. Douglas Smith, Vice-Chairman; Mr. Byron Wilson

OTHERS PRESENT: Ms. Pam Baughman, General Manager; Ms. Danielle Mychajlonka, Human Resources; Mr. Manning Woodward, Louisa County Board of Supervisors; Mr. Hunter Martin

A. Call to Order

Mr. Foster called the meeting to order at 6:00 pm.

1. ADOPTION OF THE AGENDA

Mr. Foster asked if there were any changes or additions to the agenda. The General Manager asked for the Board to disregard pages 47-53 of the agenda, those pages have been removed from the packets. Mr. Hardy made a motion to adopt the agenda as amended. The motion was seconded by Mr. Morgan and carried 5-0 among the members present.

B. Presentations

C. Citizen Information

D. Consent Agenda

2. APPROVAL OF THE MINUTES:

A. DECEMBER 13, 2023 – REGULAR BUSINESS MEETING

3. TREASURER'S REPORT:

A. O & M REPORT / CAPITAL REVENUE & EXPENDITURE REPORT – DECEMBER 2023
B. APPROVAL OF DISBURSEMENTS – DECEMBER 2023
C. CONSTRUCTION FUND – DECEMBER 2023

Upon completion of the discussion and review of the Consent Agenda and Treasurer's Report, Mr. Filer made a motion to approve the Consent Agenda and Treasurer's Report as presented. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

E. Old Business

4. UPDATE – JAMES RIVER WATER PROJECT

Nothing to update. The General Manager did not attend the meeting this morning.

5. NORTHEAST CREEK WATER TREATMENT PLANT

A. NECWTP SEDIMENTATION BASINS IMPROVEMENT (SLUDGE-VAC-SYSTEM UPDATE)

At the January 4, 2024 Manager's Meeting, staff has recommended re-advertising the Northeast Creek Water Treatment Plant Sedimentation Upgrade on February 1, 2024. This will provide an additional 30 days for equipment to arrive at the end of the summer 2024 season (higher water use time).

B. 4th OPERATOR

An offer was made to Ryan Kelly for the 4th operator position. He had accepted on December 29, 2023, but on January 5, 2024, he rescinded his acceptance.

C. RAW WATER VALVE ACTUATOR

The Raw Water Valve Actuator is schedule to be replaced on January 23 or 24, 2024.

D. SHOWER REPLACEMENT

Staff is working on acquiring estimates to replace the non-functioning shower at the Northeast Creek Water Treatment Plant.

E. DECKING ON GENERATOR

The footers were dug on Wednesday, January 3, 2023, the concrete poured on January 4, 2024. The construction of the decking will be re-evaluated in the Spring of 2024.

6. ZION CROSSROADS WELL SYSTEM UPDATE

A. SRING CREEK #1 & #2

The General Manager reported to the Board that the interior piping is approximately 75% complete, we are waiting for a riser for the pipe fitters to be 100% complete. On January 9 – 10, 2024, staff, Dominion Energy, the generator manufacturer, and our electrician will be onsite to test the generator. This is an extensive process and could take up the better part of two days. The load bank testing on the generator actually occurred on January 11, 2023.

7. LOUISA REGIONAL WWTP

A. BLOWER

The blower repairs are still on the list of items to be repaired.

B. WATER LEAK

The water leak can be isolated and only leaks when the line is in use. This repair is still on the list of items to be repaired.

8. ZION CROSSROADS WWTP

A. LIGHTNING STRIKE

Staff hopes to complete the repairs by April 2024.

9. UPDATE – NEW BRIDGE FACILITY

A. GRINDER PUMPS

A failure of another new pump occurred on January 5, 2024. Fortunately, no backup occurred, and staff was able to make the repairs. This item is covered under the warranty.

B. BOOSTER PUMP

Staff is reevaluating how to proceed, since they were unable to break apart the piping.

C. COSTS TO DATE BREAKDOWN

The Board reviewed the cost to date breakdown for the New Bridge Facilities.

D. DEPARTMENT OF WILDLIFE RESOURCES

The Department of Wildlife Resources provided clarification on the number of buoys and signs to be installed in the Spring of 2024 to provide protection to the effluent line. Further evaluation will be pending once the buoys and signs ordered have been installed.

E. NEW BRIDGE EXPENDITURES

Covered in item “C” above.

F. SIGN

The need for a sign to be installed on land will be determined once the buoys and signs have been installed in the lake.

10. LEAD SERVICE LINE INVENTORY

Progress continues with the administrative portion of the inventory. Field work will begin as soon as the weather breaks. Compliance with the regulation is October 2024.

11. NORTHEAST CREEK DAM (SOUTH ANNA DAM #22) AND BOWLERS MILL DAM (SOUTH ANNA #2)

A. APPLICATION FOR FUNDING (NORTHEAST CREEK DAM)

The application was submitted and returned for some minor changes. The General Manager hopes to complete the application once annual reports and payroll reporting has been completed for the year.

B. LOW-LEVEL VALVES – EXERCISE

The low-level valves will be exercised the first or second week of April. Divers will be onsite to ensure nothing prevents the valves from closing.

12. ADDITION OF WATER TO ST. FRANCIS STREET PUMP STATION

A. TOWN OF MINERAL APPROVAL

Once the Town of Mineral provides approval for a water service at the St. Francis Street Pump Station, work will be scheduled with the contractor.

13. UTILITY STANDARDS

The Town of Mineral was asked to participate in the updating of the Utility Standards. To date, the Town of Louisa's Utility Committee has not decided if they want to participate.

14. APPROVAL OF THE LOUISA COUNTY WATER AUTHORITY FY2023 ANNUAL AUDIT

The Board received the draft Financial Statements at the December 13, 2023, Louisa County Water Authority Board of Directors Meeting. Two items were noted by the Auditor. 1) During the course of the audit, it was noted that an employee reimbursement was not supported by an invoice, itemized receipt, or other adequate supporting documentation. It was recommended that documentation for all expenses of the Authority be maintained on file and attached to the corresponding copy of the check stub with documentation of approval. 2) During the course of the audit, it was noted that gift cards were purchased for Christmas. There was no listing / signature verification list of who received the gift cards. Each individual receiving a gift card should sign a verification list. A detailed receipt showing the number and amount of each gift card should be attached as supporting documentation. If no detailed receipt is available, a copy of the front and back of each card should be required. In addition, if gift cards are given to employees, the value of such gift card must be included in the employee's W-2. Per IRS Publication 15-B Employer's Tax Guide to Fringe Benefits, "Cash and cash equivalent fringe benefits, no matter how little, are never excludable as a de minimis benefit". We recommend that if gift cards are given to employees the amount must be included on the respective staff member's W-2.

The General Manager reached out to the Auditor to determine if W2's should be amended and if more information could be provided to enable office staff to receive a receipt to have full documentation of the transaction.

Upon completion of the review and discussion, Mr. Filer made a motion to approve the Louisa County Water Authority FY2023 Annual Audit. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

15. APPROVAL OF THE LOUISA COUNTY WATER AUTHORITY EMPLOYEE HANDBOOK

The Board reviewed and discussed the Employee Handbook. Upon completion, Mr. Kies made a motion to approve the Employee Handbook as presented. The motion was seconded by Mr. Filer and carried 5-0 among the members present.

F. <u>New Business</u>

16. Discussion – Deputy General Manager Job Description

The Board reviewed draft Deputy General Manager's Job Description. Several edits were suggested. Upon completion of the review, the Board directed the General Manager to build the position into the FY2025 budget.

17. Discussion – Employee Engagement

The Board reviewed the proposed employee engagement survey options provided in the packet. The personnel committee narrowed down the options to the two provided in the packet. Some discussion ensued around the right time to begin the subscription for employee engagement survey. It was ultimately decided to allow Human Resources and the General Manager make the decision.

18. Discussion – Louisa County Water Authority – Apprenticeship Program

Louisa County Water Authority received an application for the Apprenticeship Program from a Louisa County High School student. Due to the lack of interest in the Apprenticeship Program, it has been tabled for several years. With the current applicant, the Board discussed the possibility of exploring the interested candidate. The Board authorized moving forward with the vetting process for the application received for the Apprenticeship Program.

19. Discussion – Banking Services RFP (The entire proposal is 85 pages including Attachments; additional information will be available at the meeting.)

The Board reviewed the Banking Services RFP. United Bank was the only responder to the RFP. It was sent out to 552 banking services providers through the eVA procurement website.

Due to only receiving one response, Mr. Filer made a motion to direct the General Manager to seek legal guidance for the possibility of cancelling the RFP and re-opening it with a more targeted advertising approach with local banks and possibly banks used by other local utilities. The motion was seconded by Mr. Hardy and carried 5-0 among the members present.

20. Discussion – Board of Directors Compensation

The Board briefly discussed compensation for the Directors. Deciding to defer the discussion to the February 14, 2024 Board Meeting and directing the General Manager to seek legal advice on the approval process or steps needed for a change in Director's compensation.

G. Reports

H. General Manager's Report

● **December levels**: At the end of December the static well levels were down 1.34 feet from the end of November 2023 levels. From December 2022 to December 2023, the well levels are up approximately 6.48 feet.

The smaller table shows static well levels located nearer to the production wells. These levels are up approximately 14.45 feet from the end of November 2023 levels. From December 2022 to December 2023, the well levels are up approximately 45.44 feet.

As of January 9, 2024, the Department of Environmental Quality Drought website is indicating normal conditions exist for precipitation, groundwater, reservoir levels, and stream flow. A drought watch is in effect for the entire Northern Piedmont Region.

● The 2024 General Assembly opened today, and the legislative tracking process has begun. One meeting per week occurred the weeks of January 1st and 8th. Beginning the week of January 15th, two meetings per week will occur until the end of the session on March 9, 2024. This is a long session, and it could prove to be challenging. Items to support: 1) HB245 calls for reduction of PFAS at the source instead of placing all the burden on water treatment facilities. 2) HB220 calls for relief from permit violations due to unexpected vacancies on operator positions. Items of concern: 1) Disconnection Provisions for Public Utilities – limits a utility's ability to disconnect service due to nonpayment if the heat index is at or above 95°, no disconnections on Fridays, weekends, state holidays, or the day immediately preceding a state holiday. The record keeping is extensive, service must be restored within 8 hours of payment, etc. This was narrowly defeated last year but has a good shot at passing this year.

● Chris Compton, Maintenance Manager, and I have been working Mrs. Smith, wife of former employee H.P. Smith, to resolve a lingering issue about three fence posts. On Tuesday, January 16, 2023, at 9:00 am Randy Gray will meet with Mrs. Smith to try to resolve the issue.

● Ryan Kelly has rescinded his acceptance of our job offer.

● In observance of Martin Luther King Day, Louisa County Water Authority will be closed. All designated essential personnel will be on duty providing coverage hours as required by regulation.

● The current past-due listing is down to $5,218.53 from the past-due listing provided in the General Manager's Report, which reported the past-due balance of $6,803.41.

● The application file for the Zion Crossroads WWTP VPDES Permit renewal has been marked as administratively complete.

● The General Manager will be attending the Planning Commission meeting on Thursday, January 11, 2024, to discuss the budget requests made by Louisa County Water Authority.

I. Committees

Personnel Committee

J. Short Notice Items

K. Closed Session:

Next meeting date - The next business meeting is scheduled February 14, 2024.

Before adjourning, Mr. Manning Woodward, Louisa County Board of Supervisors, asked if he could address the Authority Board of Directors. Mr. Woodward stated that he was pleased to be working with the Authority Board of Directors and asked Board members to use him as a vehicle to send information to the Board of Supervisors.

L. Adjournment

THERE BEING NO FURTHER BUSINESS, Mr. Hardy made a motion to adjourn at 7:07 pm. The motion was seconded by Mr. Kies and carried 5-0 among the members present.

BY ORDER OF:

Judson Foster
Chairman
LOUISA COUNTY WATER AUTHORITY